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## 9. Problematic ESG Practices

# The Board's Sustainability Committee Has Failed to Both Provide Adequate Oversight and Address Shareholder Concerns

The Board formed a Sustainability Committee in February 2021, but so far, seems to have failed in providing effective oversight of sustainability and other related corporate social responsibility matters.

## Sustainability Committee



*Ms. Tighe*



*Ms. Dulá*



*Ms. Egan*



*Mr. Ferrari*

 *Nominees Starboard Is Seeking to Replace at the Company's 2022 Annual Meeting*

## Problematic ESG Practices

Huntsman's oversight and disclosure of material ESG factors meaningfully lags peers and fails to be responsive to shareholders

Failure to produce Task Force on Climate-Related Financial Disclosures ("TCFD") aligned disclosures to date

Environmental goals lack rigor and vision

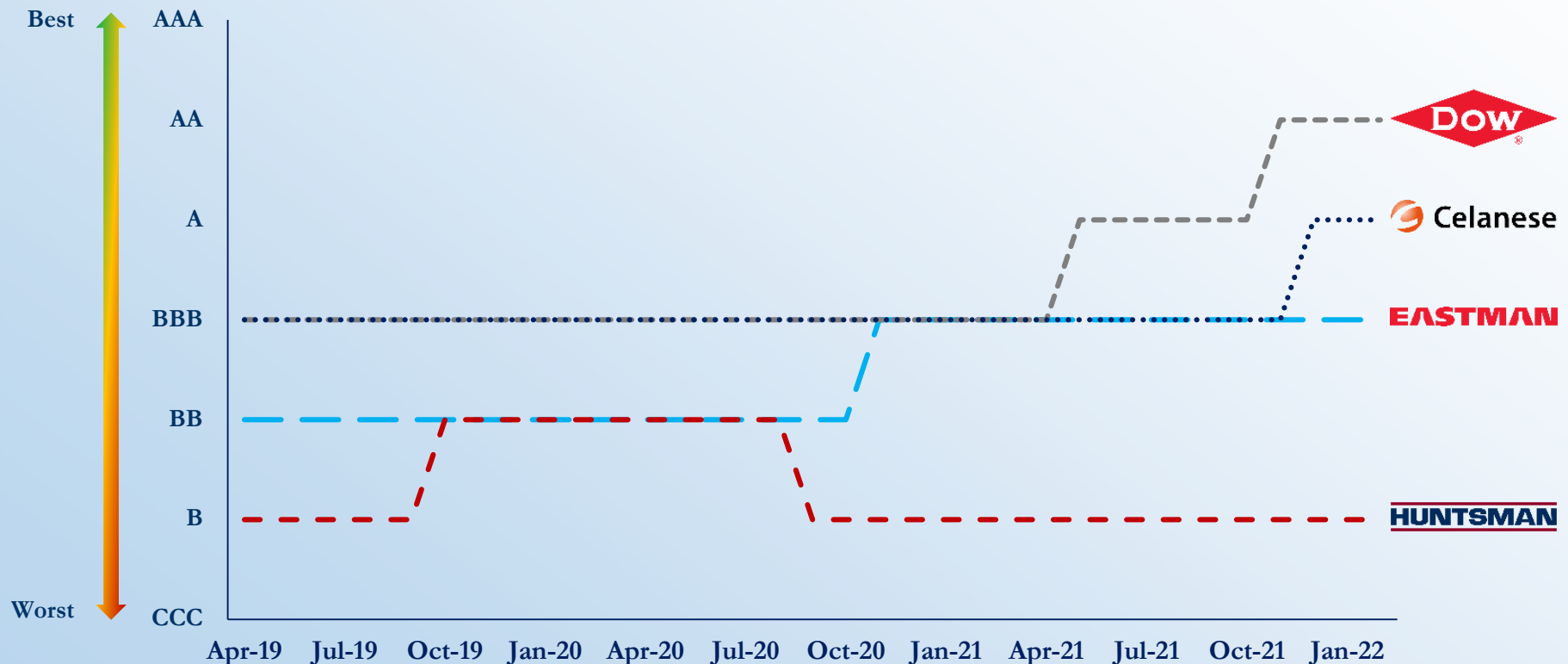
Failure to provide reporting on significant human capital management concerns

**We believe both the Board's and management's ESG oversight have proven inadequate and ineffective.**

# Huntsman Trails Its Primary Peers On ESG Practices

Huntsman not only has the worst ESG rating among Primary Peers, but is also unique in being the only company among its Primary Peers to have received a recent ratings downgrade.

MSCI ESG Rating – Huntsman vs. Primary Peers



Huntsman has the worst ESG rating among Primary Peers and is also the only Company among its Primary Peers to not have made progress towards improving its rating.

# We Believe Huntsman's Unresponsive Environmental Reporting Can Be Improved

We are concerned that the Company's environmental goals lack rigor and vision, leaving it underprepared for future regulatory and competitive pressure.

## Peer Sustainability Comparison

|                                             |  <b>HUNTSMAN</b> |  <b>EASTMAN</b> |  <b>Celanese</b> |  <b>DOW</b> |
|---------------------------------------------|---------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| Carbon Neutral Pledge                       | 2050<br>(Nov 2021)                                                                                | 2050<br>(December 2020)                                                                           | x                                                                                                   | 2050<br>(June 2020)                                                                            |
| Greenhouse Gas Emissions<br>(Scope 1 & 2)   | 10% by 2025                                                                                       | 33% by 2030                                                                                       | Not Disclosed                                                                                       | 15% by 2030                                                                                    |
| Scope 3 Monitoring                          | x                                                                                                 | ✓                                                                                                 | ✓                                                                                                   | ✓+                                                                                             |
| Energy Consumption Reduction                | 10% by 2025                                                                                       | 20% by 2020                                                                                       | 10% by 2030                                                                                         | Not Disclosed                                                                                  |
| Water Consumption Reduction <sup>(1)</sup>  | 5% by 2025                                                                                        | Not disclosed                                                                                     | 10% by 2030                                                                                         | 20% by 2025                                                                                    |
| Total Waste Generated Reduction             | 5% by 2025                                                                                        | Not disclosed                                                                                     | 15% by 2030                                                                                         | 1 million metric tons<br>by 2030                                                               |
| Incorporated into<br>Executive Compensation | x                                                                                                 | ✓                                                                                                 | ✓                                                                                                   | x                                                                                              |
| Currently Reporting to TCFD                 | x<br>(promised in 2021)                                                                           | ✓                                                                                                 | ✓                                                                                                   | ✓                                                                                              |

Under the failed oversight of the Board's ESG Committee, Huntsman has reactively made a carbon neutral pledge and an unfulfilled promise of TCFD reporting in order to appease institutional investors

Huntsman should provide greater disclosure on environmental goals in-line with its Primary Peers.